

Risk for Indian Retail Banks

Banks face a series of risks- asset-liability match, asset quality risk, geographical concentration risk and so on. Some companies can manage it better than others.

- For example, Kotak Mahindra Bank and HDFC Bank have negligible concentration risks as it is well spread out over products, geographies, and industries.
- ILF&S was running on an asset-liability mismatch. It was mainly because of long-term infrastructure projects being financed by short-term loans.

Different business models and value propositions affect each player's ability to treat risk.

Risks Identified

Any mishap can affect bank's reputation considerably

Concentration in loan book of any kind - customer-wise, geography-wise, industry-wise.

Increase in NPA due to faulty credit appraisal process

Affected by macro-economics and market forces

Asset-liability mismatch

Interest rate risks

Frauds with the system or cyber attacks

Digital platforms may affect intermediate's commissions

Regulatory compliance charges